Insurance Sector in India:Evolution, Principles and Regulatory Framework

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Chapter 1: Origin and Development of Insurance

The history of the origin and development of insurance in India is thousands of years old, and its reference is found in ancient religious texts.

•In the Shrutis, the word Yogakshema was used for insurance, which means prosperity and protection of people.

•References to insurance are also found in the Manusmriti, Dharmashastra, and Arthashastra. At that time, insurance meant protection of wealth and people from natural calamities such as fire, flood, disease, and untimely death.

Development of Insurance

In the development sequence of insurance, marine insurance is considered the first. After the 14th century, fire insurance, life insurance, and various other types of insurance gradually came into practice.

Marine Insurance

- In ancient times, in various countries, trade was done through sea routes, in which many types of risks had to be faced.
- At that time, there was no advanced technology-based navigation. Therefore, various methods were adopted to deal with dangers.
- The first method was sharing of losses. Under this, all traders would contribute to cover the damage to goods being carried on a ship. This was called General Average.
- The second method was the Bottomry Bond, which was the practice of giving a special loan related to sea trade.
- Under this loan, it was given on the condition that if the sea voyage is completed safely, the loan along with interest will be repaid, but if the ship sinks or is destroyed, the loan would be forfeited.
- The systematic form of marine insurance started in Italy in the early 13th century, and in 1523 AD, an ordinance called the Ordinance of Florence was implemented. After this, insurance-related laws were created.
- Marine insurance began in England in the 16th century, and in 1575 AD, an organization called the Chamber of Assurances was established in London.
- This institution was responsible for the registration of insurance policies and resolving policy-related disputes. In 1720 AD, for conducting marine insurance business in England, two chartered companies were established.
- Royal Exchange Assurers and London Assurers, both these companies played a very important role in marine insurance. In 1688 AD, Edward Lloyd’s Coffee

House in England became world-famous for making marine insurance business prosperous.

Fire Insurance

•After marine insurance, fire insurance began in London in 1681 with the establishment of the Fire Insurance Office.

•In 1774, the Union Fire Office was also established, and in 1710, this business started in Calcutta, India.

•By 1825, the Alliance British & Foreign Insurance Company began large-scale fire insurance operations.

Life Insurance

•Life insurance began in England in the 16th century, and in the 17th century, the Amicable Company and the Society for Equitable Assurances on Lives and Survivorships were established.

•In India, life insurance began in 1818 with the establishment of the Oriental Life Insurance Company in Calcutta. Later, in 1823, 1829, and 1897, other companies were also established.

•In 1956, life insurance was nationalized, when the Life Insurance Corporation of India (LIC) was created as a large organization. Until April 2000, the monopoly of LIC remained, but after that, private companies were allowed to enter the insurance sector.

Chapter 2: Meaning and Definitions of Insurance

Meaning of Insurance

Insurance is a means by which, by paying a small fee (called a premium), the loss arising from a specific risk (called a peril or insured risk) is covered.

- The burden of loss is transferred from the insured person to the insurer, which is called insurance.

Definitions of Insurance

- Sir William Beveridge: Insurance is the collective bearing of risks of life.
- John Mangi: Insurance is a scheme through which a large number of individuals collectively bear risks.
- Densdale: Insurance is a means through which uncertainty is reduced.
- McGill: Insurance is a process by which certainty replaces uncertainty.

Conclusion from all definitions:

Insurance is a process where, for protection against a specific risk, many individuals contribute together. From this contribution, compensation is given to those individuals who face loss due to risk.

Chapter 3: Nature of Insurance

Nature of Insurance

•Insurance is a system where a large group of people collectively protect themselves from certain risks.

•It is based on the principle of cooperation.

•Through insurance, the economic losses of an individual are distributed among many people.

•Compensation is given only up to the maximum limit of loss, not beyond it.

•The system is based on the Theory of Probability and the Theory of Large Numbers.

•Insurance is neither gambling nor donation. It can prevent reaching a loss and can also provide profit, but insurance is not a profit-making arrangement. It is only a means to cover the loss when it happens.

•Insurance is one of the many ways to deal with risks. But not all risks are insurable. This is the limitation of insurance.

Chapter 4: Functions of Insurance

Functions of Insurance

Primary Functions of Insurance

1. Providing Certainty

•The main purpose of insurance is to reduce uncertainty of future events and provide certainty.

2. Providing Security

•Human life is full of uncertainties and risks of premature death. Insurance provides security by ensuring certainty.

3. Distribution of Risks

•Insurance distributes business-related risks. The losses of some unfortunate individuals are shared by a large group of people who pay insurance premiums.

Secondary Functions of Insurance

1. Capital Formation

•Insurance institutions make a significant contribution to capital formation in the economy.

2. Enhancing Business Efficiency

•Business involves various risks, and insurance helps in covering them, which allows businesses to focus better on their activities.

3. Contribution in Loss Prevention

•While selecting risks for insurance, insurers suggest ways to reduce them. Research and promotion of loss-prevention methods get an important contribution from insurance.

4. Providing Financial Stability

•Insurance provides financial stability because sudden risks can cause instability.

•Example: If natural calamities, accidents, thefts, or fires occur, industries and businesses may suffer losses. Insurance provides compensation, helping avoid economic crisis and maintain stability.

Chapter 5: Usefulness of Insurance

Usefulness of Insurance

Insurance provides benefits to businesses, society, and individuals.

Benefits of Insurance to Business

1. Means of Financial Security

•Insurance provides protection against unforeseen losses, which leads to the growth of industries and business organizations.

2. Increase in Business Efficiency

•Because of insurance, businesspersons get freedom from large-scale risks. They can focus more of their resources and energy on business, resulting in growth.

3. Basis for Credit

•Companies and institutions that provide loans are willing to give credit to businesses if they have insurance for different risks.

4. Means of Savings

•By saving through insurance, individuals can accumulate funds. Life insurance is considered both a protection plan and a savings tool.

Benefits of Insurance to Society

1. Freedom from Business Instability

•Insurance helps society overcome the negative effects of business fluctuations and maintains stability in trade and commerce.

2. Stability in Standard of Living

•Insurance protects families from sudden financial loss due to death or accidents of earning members. It helps maintain the standard of living of dependents.

3. Capital Formation

•Premiums collected from policyholders are invested by insurance companies into productive sectors. A large fund is created, leading to capital formation in the economy.

Benefits of Insurance to Individuals

1. Protection from Risks

•Individuals get security from different types of risks and uncertainties of future losses.

2.Freedom from Worry of Losses

•For an individual, the real concern is the possibility of loss. Insurance relieves this concern because losses, if they occur, are compensated.

3. Provision for Family Needs

•Life insurance fulfills various family requirements, such as financial security for dependents in case of premature death, children's education, marriage, housing, health care, old age, and other needs.

Chapter 6: Types of Insurance

Types of Insurance

Based on the origin and development of insurance, it can be divided into the following types:

Marine Insurance

•The cheapest and best means of water transport is marine insurance. It provides security against the possibility of loss or damage to ships or goods during water transportation.

•Marine insurance provides protection against loss or damage caused to ships, cargo, and freight.

Fire Insurance

•Fire insurance provides relief from financial loss due to destruction of assets caused by fire.

•It covers losses to houses, shops, mills, factories, warehouses, etc., due to fire accidents.

Life Insurance

•Life insurance provides financial security to a family in case of untimely death of an earning member.

•It is also beneficial for old age because it provides additional insurance against old-age risks.

Social Insurance

•Social insurance refers to schemes that provide social security.

•Its main purpose is to provide protection against sickness, disability, old age, and unemployment.

•It helps society members overcome economic difficulties in such circumstances.

Miscellaneous Insurance

•All types of insurance other than life, fire, marine, and social insurance are included in miscellaneous insurance.

•In England, accident insurance and casualty insurance are included under this type.

Chapter 7: Classification of Insurance

Classification of Insurance
Insurance can be classified from two perspectives:

1. Based on Insurance Business
2. Based on Nature of Risks

Classification Based on Business
The main types of insurance businesses are:

•Life Insurance
•Social Insurance
•Marine Insurance
•Fire Insurance
•Miscellaneous Insurance

Classification Based on Business

•Life Insurance
•General Insurance
•Social Insurance
•Marine Insurance
•Fire Insurance
•Miscellaneous Insurance

Note:
•According to the Indian Insurance Act, 1938, Section 2, insurance business is classified into life insurance and general insurance.

(ii) **General Insurance Business**
•According to Section 2 of the Indian Insurance Act, 1938, general insurance business includes fire insurance, marine insurance, and miscellaneous insurance.

(iii) **Social Insurance Business**
•This insurance is operated for the welfare of weaker sections of society.
•It provides financial help and organized remedies in case of old-age pension, unemployment allowance, accidents, illness, disability, etc.

Classification Based on Nature of Risk

The main types under this classification are:

(i) Personal Insurance

•It includes Life Insurance, Personal Accident Insurance, and Health Insurance.

(ii) Property Insurance

•This insurance provides protection against loss or damage to human property due to risk.

•Examples: Fire Insurance, Marine Insurance, Crop Insurance, Cattle Insurance, Machinery Insurance, etc.

(iii) Liability Insurance

•This covers all types of risks under which the insurance company has to compensate due to liabilities of the insured.

•Examples: Public Liability Insurance, Workmen's Compensation Insurance, etc.

(iv) Guarantee Insurance

•This covers all insurances where the insurance company gives a guarantee or assurance for another party's honesty, trustworthiness, or performance.

•Example: Protection against fraud, embezzlement, and dishonesty of employees.

•If losses occur, the insurer compensates them.

Chapter 8: Principles of Insurance

Principles of Insurance

- The principles of insurance are the rules and guidelines that must be followed in every insurance business.
- They are essential for the validity of insurance.

Important Principles of Insurance:

1. Principle of Utmost Good Faith
2. Principle of Insurable Interest
3. Principle of Indemnity
4. Principle of Proximate Cause
5. Principle of Loss Minimization
6. Principle of Contribution
7. Principle of Subrogation

<u>Principles of Insurance</u>

(i) Principle of Utmost Good Faith

•Both the insurer and the insured must maintain utmost good faith towards each other.

•The insured is required to disclose all important facts related to the proposed risk truthfully and completely, and the insurer must provide complete and correct information about the insurance contract to the insured.

(ii) Principle of Insurable Interest

•For the subject matter of insurance, insurable interest is essential.

•This means that a person cannot insure a house, ship, or another person's life unless they have a financial interest in it. Insurance is only possible if the insured has a financial stake in the subject matter.

(iii) Principle of Contribution

•According to this principle, if the insured has taken insurance from multiple insurers for the same claim, then in the case of loss, all insurers contribute proportionally to compensate the insured.

(iv) Principle of Proximate Cause

•According to this principle, the insurance policy covers only those losses which are the result of risks described in the policy.

•If a loss occurs due to two or more causes, it will be compensated only if the proximate (nearest) cause is covered under the policy.

•Proximate cause means the most effective and primary cause of the loss.

(v) Principle of Mitigation of Loss

•It is the duty of the insured to take reasonable steps to minimize the loss or damage to the insured property after the risk occurs, just as a prudent person would act in such circumstances.

(vi) Principle of Indemnity

•All contracts of fire insurance or general insurance are contracts of indemnity.

•According to this principle, the insurer compensates only the actual loss suffered by the insured due to the occurrence of the insured event, but not more than that.

•In other words, the insurer is liable to make good only that loss which occurred directly due to the insured risk.

(vii) Principle of Subrogation

- According to this principle, after the insurer compensates the insured for the loss, the insurer gets the right to take over the legal rights of the insured in respect of that property.
- For example, if the insured property is damaged and after the claim is settled, if anything of value remains from the damaged property, the ownership of such property automatically passes to the insurer.
- Therefore, the insurer prevents the insured from making a profit by selling the damaged property separately after receiving compensation.

Chapter 9: Insurance Regulatory and Development Authority of India (IRDAI)

Insurance Regulatory and Development Authority (IRDA)

•In 1993, the Malhotra Committee was formed to recommend reforms for the development of the insurance industry.

•Based on the committee's recommendations, the Insurance Regulatory and Development Authority (IRDA) was established in 1999.

Insurance Regulatory and Development Authority Act, 1999

With the passage of the Insurance Regulatory and Development Authority Act, 1999, from April 2000, a statutory regulatory body was established for the life insurance, general insurance, and health insurance industries in India, known as the Insurance Regulatory and Development Authority of India (IRDAI).

•Initially, it was called IRDA, but in 2014 it was renamed IRDAI.

•Its headquarters was first in Delhi, but in 2001 it was shifted to Hyderabad (Telangana).

Main Objectives

The IRDA, established under the IRDA Act, 1999, is a statutory body of the Government of India. Its main objectives include:

•Protecting the interests of insurance policyholders,

•Regulating, promoting, and ensuring orderly growth of the insurance industry,

•Handling other related and incidental matters.

Organizational Structure

According to Section 4 of the IRDA Act, 1999, the authority consists of a chairman, five whole-time members, and four part-time members, all appointed by the Central Government.

1. Chairman:

•Term of 5 years, eligible for reappointment.

•Maximum age should not exceed 65 years.

2. Whole-time Members:

•Maximum five, each with a term of 5 years, eligible for reappointment.

3. Part-time Members:

•Maximum four, each with a term of 5 years, but not eligible for reappointment.

Resignation or Removal from Office

- A member may resign from office but must notify the Central Government 3 months in advance (or earlier if permitted).

Grounds for removal from office:
(i) If the member is declared insolvent.
(ii) If convicted of a criminal offence involving moral turpitude.
(iii) If engaged in misconduct detrimental to public interest.
(iv) If acquired financial interest in a company that may affect duties.

Roles and Functions of IRDAI

- Registration and regulation of insurance companies, including granting, renewing, revoking, or suspending registrations.
- Protecting the interests of policyholders, settlement of insurance claims, and ensuring insurance terms are fair.
- Promoting efficiency in insurance business operations.
- Regulating and monitoring the functioning of the Tariff Advisory Committee.
- Ensuring financial stability of insurance companies and resolving disputes between insurers and insured.
- Regulating investment of funds by insurance companies.

Chapter 10: Life Insurance

Life Insurance
Life Insurance is a mechanism that provides protection against risks associated with life.

•It offers financial security to individuals and their families against unforeseen events.

•Through life insurance, a person can ensure financial protection for dependents in case of death or other life-related risks.

Importance of Life Insurance

•Apart from death, a person may become unable to work due to disability or old age.

•Because of these risks, life insurance becomes necessary to provide security against such uncertainties.

•All associated risks affect a person’s income.

•Life insurance mainly protects against death, old age, and illness, thereby providing financial security from economic difficulties.

Importance of Life Insurance

Life Insurance as:

1. A Means of Security
   - Family Security
   - Education/Marriage arrangements
   - Old-age provision
   - Business/Professional security
   - Estate planning
2. An Investment
3. An Investment Institution
4. Other Benefits of Life Insurance
   - Efficiency, thrift, and social benefits

1. Life Insurance as a Means of Security

(i) Family Security:

•The earning member of the family can secure the family by purchasing life insurance.

•If he/she dies, the family receives financial support.

•Thus, life insurance is the best means of family security.

(ii) Provision for Education/Marriage:

•Family expenses like children's education and marriage create financial pressure.

•If the earning member dies, life insurance helps cover such needs effectively.

(iii) Old-age Provision:

•Life insurance provides support during old age when physical strength reduces and earnings decline.

•Regular premium payments ensure financial support after retirement.

(iv) Business/Professional Security:

•Businessmen and professionals often face risks in their assets and income.

•Insurance provides financial protection against these uncertainties.

(v) Estate Duty Arrangement:

•The government levies estate duty on inherited property.

•Wealthy individuals, before their death, can plan through life insurance to ensure heirs are not burdened.

•The insurance payout can be used to settle estate duty obligations.

2. Life Insurance as an Investment

- Insurance provides security through premiums paid.
- Along with protection, it also serves as a form of investment.
- In this way, life insurance combines protection + savings.
- The amount invested earns returns, and upon maturity or death, the insured or their heirs receive financial benefits.

3. Life Insurance as an Investment Institution

- Among the different types of investment institutions, life insurance institutions are considered very important.
- Life insurance companies collect large sums in the form of premiums and invest them in productive and development-oriented programs.
- In this way, life insurance institutions play an important role in capital formation and also facilitate industrial and economic development.

4. Other Benefits of Life Insurance

(i) Efficiency:

•Life insurance frees individuals from worry and increases their efficiency.

(ii) Thrift and Savings:

•Life insurance develops thrift and savings among people.

•The insured is required to pay premiums regularly, which helps them develop the habit of thrift.

•Thus, life insurance is considered the best method for long-term savings.

(iii) Social Benefits:

•Life insurance helps families during crises, giving dependents the strength and respect to stand on their own feet.

•It provides support to the poor, helpless, and disabled.

Chapter 11: Life Insurance Corporation of India (LIC)

Life Insurance Corporation of India (LIC)

•LIC is the largest life insurance company in India and also the country's biggest investment institution.

•Established: 1st September 1956, with headquarters in Mumbai.

•On 19th June 1956, the Indian Parliament passed the Life Insurance Corporation Act, 1956, leading to the establishment of LIC.

•This was the result of the nationalization of the life insurance business and the implementation of the Industrial Policy Resolution, 1956.

•LIC sold 13.8 crore shares, in which the Industrial Credit and Investment Corporation of India Bank (ICICI) held a 2.2% stake.

•LIC later sold its 2% stake in ICICI Bank.

Role in Insurance Sector

- **Monopoly to Competition** – From 1956 till 2000, LIC enjoyed monopoly in the life insurance sector. After liberalization (IRDA Act, 1999), private insurers entered, but LIC still dominates.
- **Largest Life Insurer** – LIC is the biggest life insurance company in India in terms of **premium income, customer base, policies in force, and claim settlement ratio**.
- **Wide Network** – It has the **largest distribution network** with thousands of branch offices, agents, and satellite offices across India, even in rural and semi-urban areas.
- **Variety of Products** – LIC offers **endowment plans, term assurance, pension plans, unit-linked insurance plans (ULIPs), money-back policies, health insurance**, etc., catering to diverse needs.
- **Social Security Provider** – It plays a key role in providing **social security and financial inclusion**, especially for economically weaker sections through **low-premium policies and micro-insurance schemes**.
- **Trust and Brand Value** – LIC is often perceived as the **most trustworthy and reliable** insurer in India, which gives it an advantage over private players.

Contributions to Economy

- **Capital Mobilization** – LIC mobilizes **huge household savings** through premiums and invests them in productive sectors of the economy.
- **Infrastructure Development** – It is one of the **largest institutional investors** in India, investing in **railways, roads, bridges, housing projects, power plants, irrigation, and industrial development**.
- **Support to Government Borrowing** – LIC regularly invests in **government securities and bonds**, helping finance the fiscal deficit and development programs.
- **Employment Generation** – Through its vast agent network, branch offices, and allied services, LIC provides **direct and indirect employment** to lakhs of people.
- **Financial Stability** – As a strong institutional investor, LIC contributes to **stability in the financial markets**, acting as a buffer in times of economic crisis.
- **Contribution to GDP** – Insurance penetration and density in India is significantly supported by LIC, thereby contributing to **overall economic growth and GDP share**.
- **Global Presence** – LIC has expanded internationally with offices in countries like **Nepal, Fiji, Mauritius, Singapore, UAE, and UK**, promoting India's insurance footprint abroad.

Chapter 12: General Insurance

General Insurance

•After the nationalization of life insurance in 1956, the demand for nationalization of general insurance also started.

•With the expansion of the public sector and the success of Five-Year Plans, this demand grew stronger.

•However, the government did not make any decisions on this for several years.

•After the nationalization of 14 commercial banks in 1969, the demand for general insurance nationalization increased further.

•In 1971, the government took over the general insurance business.

•To fully implement nationalization, Parliament passed the General Insurance Business (Nationalization) Act, 1972, which came into effect on 1st January 1973.

General Insurance Corporation of India (GIC)

• This corporation was established by the Central Government on 22nd November 1972 under the Companies Act, 1956.

• Its registered office is located in Mumbai.

• According to the General Insurance Business (Nationalization) Act, 1972, GIC performs the following tasks:

1. To carry on general insurance business efficiently and provide better insurance services.

Chapter 13: Insurance and Economic Development

Insurance and Economic Development

Insurance has become a strong foundation in fulfilling the socio-economic objectives of the Indian financial system.

For economic development, insurance plays a major role by:

- Mobilizing capital investments,
- Establishing industries,
- Expanding economic growth,
- Developing world trade,
- Financial intermediation, etc.

Role of Insurance in India's Economic Development

(i) Savings and Insurance:

•Insurance companies collect savings and invest them in productive activities.

•This becomes a major factor for economic development.

(ii) Capital Formation and Insurance:

•Capital formation is the foundation of a country's development.

•It includes industries, machinery, equipment, buildings, transport, and communication.

•Real savings, investment activities, and increased employment opportunities are the three essential steps in capital formation, and insurance plays an important role in this process.

(iii) Duties for Industrial and Social Sectors:

•Insurance companies are required to invest a specific part of their funds in government securities.

•In the last five years, this required proportion has been between 5%, 7%, 10%, 12%, and 15%.

(iv) Financial Intermediation:

•Insurance provides a system of financial intermediation.

•It helps mobilize funds and ensures their productive use, thus improving capital flow in the economy.

(v) Trade and Commerce Development:

•Insurance facilitates trade and commerce by providing security against risks.

•By promoting financial stability, it creates confidence in commercial activities.

•Social security is also strengthened, which reduces the burden on the government.

Chapter 14: Pension Fund Regulatory and Development Authority (PFRDA)

Pension Fund Regulatory and Development Authority (PFRDA)

- In India, to review policies related to old-age income security, the Government of India initiated a national project named OASIS in the year 1999.
- Based on the recommendations of the OASIS Report, the Government of India, leaving aside the armed forces, initiated a new defined contribution pension system for new entrants into the central and state government services.
- On 23rd August 2003, the Pension Fund Regulatory and Development Authority (PFRDA) was established in India through the process of increasing, developing, and regulating the pension system.
- The Pension Fund Regulatory and Development Authority Act was enacted on 19th September 2013, and it was notified in February 2014.
- PFRDA regulates NPS (National Pension System), under which employees of central and state governments, private institutions/organizations, and unorganized sectors are covered.

Functions of PFRDA:

•To educate customers and the general public on pension-related matters and systems.

•To support resolution of disputes between various intermediaries such as customers, banks, and intermediaries, and to establish a grievance redress system for customers.

•To support grievances related to various pension schemes in the country.

•The organization monitors and regulates everything related to pension funds and pension schemes, and promotes the old-age income security scheme through the pension regulatory fund.

Chapter 15: Government Insurance Schemes in India

Insurance Schemes Run by the Government of India
The major insurance schemes currently run by the Government of India are as follows:

Pradhan Mantri Suraksha Bima Yojana (PMSBY)

•This was announced in the annual budget of 2015-16 on 28th February 2015. It is a type of accident insurance policy under which a claim can be made for the insurance amount in case of death or permanent disability due to an accident.

•Eligibility: Persons aged between 18 and 70 years can enroll in this scheme, and for joining the scheme, a premium of ₹20 per annum must be paid by the subscriber.

•Coverage: In the event of death or permanent total disability due to an accident, ₹2 lakh will be paid; for permanent partial disability, ₹1 lakh will be paid.

Rashtriya Swasthya Bima Yojana (RSBY)

•The Rashtriya Swasthya Bima Yojana was started by the Ministry of Labour and Employment, Government of India, to provide health insurance coverage to families living below the poverty line (BPL).

Eligibility:

•Workers in the unorganized sector who come under the BPL category, and their family members (up to five members of a family unit) will get benefits under this scheme.

•Implementing agencies will be responsible for verifying the eligibility of workers and their family members from the unorganized sector, whose proposal for benefits under the scheme is submitted.

To identify beneficiaries, a smart card will be issued.

•Benefit: The total insurance amount will be ₹30,000 per family annually based on a family floater policy.

Contribution Pattern

•Central Government Contribution: The estimated annual premium of ₹750 will include 75% contribution by the central government, i.e., a maximum of ₹565 per family annually.

•State Government Contribution: Annual premium contribution of 25% by the state government.

Employees State Insurance Scheme (ESI Scheme)

•The Employees State Insurance Scheme (ESI) is managed by the Employees State Insurance Corporation (ESIC), which provides social security to workers in organized sectors in India. Its establishment is under the Employees State Insurance Act, 1948. The scheme applies to establishments where 10 or more persons are employed.

•This is a contributory scheme, applicable to employees whose monthly wages do not exceed ₹21,000. The contribution rate is 0.75% from the employee's wages and 3.25% from the employer's share, totaling a 4% monthly contribution towards the employee's insurance.

•For Persons with Special Ability (PwSA), the maximum wage limit is ₹25,000, and they are exempt from contributing ₹176 or less from their wages.

Benefits of the Scheme

1. Medical Benefits:

•Provides cashless medical treatment to the insured person or their family members in case of illness.

2. Sickness Benefit:

•Provides 70% of wages during sickness. In the case of serious illnesses, this is increased up to 80%.

3. Maternity Benefit:

•Female insured workers receive 100% of wages for 26 weeks during maternity leave.

4. Disability Benefit:

•In case of an accident at the workplace resulting in permanent disability, 90% of wages are paid. For permanent disability, the percentage of disability determines the lifelong pension amount.

5. Dependents' Benefit:

•If the insured person dies during employment, their dependents are provided a pension equivalent to 90% of wages.

Pradhan Mantri Jeevan Jyoti Bima Yojana (PMJJBY)

- This scheme is available to people aged 18–50 years with a bank account, from which premium can be deducted through auto-debit. Under the scheme, for an annual premium of ₹436 (approximately ₹1 per day), a life insurance cover of ₹2 lakh is provided.
- The scheme covers both death due to accident and natural causes. It is administered by LIC (Life Insurance Corporation).

Pradhan Mantri Vaya Vandana Yojana (PMVVY)

- On 5th January 2018, the Government of India launched the Pradhan Mantri Vaya Vandana Yojana, a new pension scheme. Under this scheme, Indian citizens aged 60 years and above are eligible to invest for a fixed monthly return for 10 years
- This scheme is serviced and exempted from GST.
- In case of premature withdrawal of the scheme, 98% of the paid amount will be refunded, and in case of the pensioner's death during the policy period of 10 years, the nominee will be paid the accumulated corpus.

Aam Aadmi Bima Yojana (AABY)

- The Aam Aadmi Bima Yojana (AABY) is a social security scheme launched by the Government of India's Ministry of Finance on 2nd October 2007.
- The scheme provides life insurance coverage as well as coverage in cases of permanent or temporary disability to the head of rural landless families or working family members.
- The applicant's age under the scheme must be between 18 to 59 years.

Provisions of the Scheme

- In case of natural death of a member during the insurance coverage period, the nominee will receive ₹30,000.
- In case of death due to accident, the nominee will receive ₹75,000.
- In case of permanent disability, the insured person or nominee will receive ₹37,500.

Ayushman Bharat (AB)

- To achieve Universal Health Coverage (UHC), the Government of India adopted a major initiative called Ayushman Bharat, in line with the National Health Policy 2017.
- This initiative is designed to fully implement the Sustainable Development Goals (SDG) and its associated commitments to ensure that no one is left behind.
- Ayushman Bharat aims to remove regional and fragmented views of health service delivery and instead make a broader attempt toward universal health insurance services.

•The goal of this scheme is to comprehensively link primary, secondary, and tertiary health service systems.

•Ayushman Bharat is a major step toward health services with two related components:

Health and Welfare Centres (HWCs)

•In February 2018, the Indian Government announced converting existing sub-centers and primary health centers into Health and Welfare Centres (HWCs).

•The initiative aims to deliver health services through Comprehensive Primary Health Centres (CPHC) and to reach health services to people’s homes.

Pradhan Mantri Jan Arogya Yojana (PMJAY)

•The second component of Ayushman Bharat is the Pradhan Mantri Jan Arogya Yojana (PMJAY).

•This is the world’s largest health scheme, whose objective is to provide free treatment up to ₹5 lakh annually per family for secondary and tertiary health services.

•It aims to provide health services to over 10.74 crore poor and deprived families, representing 40% of India’s population.

•The families covered are identified based on the 2011 Social Economic Caste Census (SECC) data, using deprivation and socio-economic criteria.

This scheme provides a cash amount of up to ₹5 lakh per family annually for secondary and tertiary health treatment in public and private empaneled hospitals in India.

•Under this scheme, pre-hospitalization medical treatment, health treatment, and medicines are provided free of cost from 3 days before hospitalization up to 15 days after hospitalization.

•There is no restriction on the family size, age, or gender of members under this scheme.

•The scheme is portable, meaning the beneficiary can avail the benefits at any empaneled public or private hospital across the country.

Atal Bima Yojana (Atal Accident Insurance Scheme)

•The scheme started from 01-07-2018, initially applicable for a two-year term on a pilot basis, which was later extended up to 30 June 2021.

•It is a welfare measure implemented by the Employees State Insurance (ESI) Corporation.

•Under this scheme, workers who become unemployed are provided cash compensation.

•The purpose is to offer social assistance by covering cases of disease, maternity, disability, and employment-related accidents resulting in death. Additionally, insured workers and their families are provided medical care.

Senior Citizens Pension Insurance Scheme

•A pension scheme where senior citizens receive pensions based on their investment.

•Each month, a pension ranging from ₹500 to ₹10,000 is paid.

•The responsibility of this scheme was assigned to the Life Insurance Corporation of India (LIC), which offers a minimum guaranteed return of 8% for 10 years.

•To avail of this scheme, the applicant’s age must be 60 years or older.

•The scheme provides for borrowing three years after investment, with a maximum loan of 75% of the total investment.

•Upon maturity, the invested principal is returned.

•In case the policyholder dies during the term, the principal amount is paid to the nominee.

•Pension payments are made only via banking platforms like ECS or NEFT.

Pradhan Mantri Fasal Bima Yojana (PM-FBY)

•Launched in 2016 by the Ministry of Agriculture and Farmers Welfare.

•The scheme provides comprehensive insurance coverage to farmers against crop failure, helping stabilize farmers’ incomes.

•The premium for Kharif crops is 2% of the sum insured, and for Rabi crops, 1.5%. An additional 5% premium for commercial and horticultural crops is also fixed.

•Farmers who hold a Kisan Credit Card (KCC) can opt for the scheme, while for others, it is optional.

Restructured Weather-Based Crop Insurance Scheme

•Launched on 18 February 2016.

•The primary purpose is to reduce farmers’ difficulties due to estimated yield loss caused by adverse weather conditions such as temperature, humidity, rainfall, etc.

Important Facts

•The National Insurance Business (Nationalization) Act was enacted in 1972, and it came into effect on 1st January 1973.

•Articles 27 and 37 of the Indian Constitution provide legal regulations regarding investments of life insurance funds.

•The Indian Cooperative Societies Act, 1912, includes provisions regarding registered cooperative societies.

•The American Experience Table, created in 1868, was based on life insurance statistics in the USA.

•Based on Indian experience, the task of making mortality tables was given to the Oriental Government Security Life Insurance Company.

•Under the Natural Premium Plan, the annual premium rate is calculated according to age.

•Government Securities (G-Secs) are defined in the Indian Public Debt Act, 1944.

•The Renewable Whole Life Policy is also referred to as the Optional Whole Life Policy.

•The Employment State Insurance Act, 1946 provides social security benefits to workers in organized sectors.

•The Theory of Probability and the Theory of Large Numbers form the basis of the insurance principle.

•In 1696, an insurance institution called Hand in Hand was established.

•Marine insurance as a commercial practice began in Italy in 1523 A.D., known as the Ordinance of Florence.

•Insurance is a contract between two parties, in which one party undertakes specific risks in exchange for a definite return from the other party.

•Marine risk is defined under Section 6 of the Marine Insurance Act.

•The functions of the IRDA (Insurance Regulatory and Development Authority) are specified under Section 14 of the IRDA Act

Summary of All Chapters

Chapter 1: Origin and Development of Insurance

Insurance originated as a way to **share risks collectively**. In India, traces are found in ancient texts and community practices. Marine insurance was the earliest form, followed by fire and life insurance. Globally, modern insurance evolved in Europe. In India, insurance developed rapidly after the British period, leading to formalized companies and later nationalization.

Chapter 2: Meaning and Definitions of Insurance

Insurance means **protection against risk of financial loss** through pooling of funds. It is defined as a contract where the insurer agrees to compensate for loss in return for a premium. Core idea → **transfer and sharing of risks**.

Chapter 3: Nature of Insurance

Insurance is a **contract based on principles of good faith, indemnity, and risk sharing**. It reduces uncertainty and provides financial security. Its nature is both **protective (safety against risk)** and **promotive (mobilization of savings & investments)**.

Chapter 4: Functions of Insurance

- **Primary functions:** risk transfer, security, certainty, and distribution of risk.
- **Secondary functions:** mobilization of capital, promotion of trade & industry, prevention of loss, economic growth, and financial stability.

Chapter 5: Usefulness of Insurance

Insurance benefits **businesses (risk coverage, credit support), society (social security, development funding), and individuals (financial protection, investment option, old-age support)**.

Chapter 6: Types of Insurance

Major types:

- **Marine Insurance** – covers ships, cargo, and freight.
- **Fire Insurance** – covers fire-related damages.
- **Life Insurance** – covers death and provides savings.
- **Social Insurance** – government-backed schemes for weaker sections.
- **Miscellaneous Insurance** – includes motor, health, crop, liability insurance, etc.

Chapter 7: Classification of Insurance

- **By business:** life, general, social, marine, fire, miscellaneous.
- **By risk:** personal (life, accident, health), property (house, goods), liability (legal responsibility), and guarantee insurance.

Chapter 8: Principles of Insurance

Insurance rests on **seven principles**:

1. Utmost Good Faith (disclosure of facts)
2. Insurable Interest (legal right to insure)
3. Indemnity (compensation without profit)
4. Proximate Cause (nearest cause of loss)
5. Loss Minimization (duty to reduce loss)
6. Contribution (sharing by multiple insurers)
7. Subrogation (insurer’s right after claim settlement).

Chapter 9: IRDAI (Insurance Regulatory and Development Authority of India)

Established in **1999**, IRDAI regulates India's insurance industry. Functions: issue licenses, regulate insurers/agents, protect policyholders, promote competition, ensure solvency, and develop the insurance sector.

Chapter 10: Life Insurance

Life insurance provides **financial protection against death and also acts as savings and investment**. It ensures security for dependents, mobilizes funds, and provides loans/pensions. It is both a **protection tool and development instrument**.

Chapter 11: Life Insurance Corporation of India (LIC)

Formed in **1956**, LIC is the largest life insurer in India.

- **Role:** Monopoly till 2000, wide agent network, trusted brand, variety of products, social security provider.
- **Contribution:** Major investor in infrastructure, government securities, financial markets, employment generation, global expansion.

Chapter 12: General Insurance

General insurance covers **non-life risks** like fire, marine, health, and motor. The **General Insurance Corporation (GIC)** was formed in 1972 after nationalization. In 2000, the sector opened to private players. GIC continues as the national reinsurer.

Chapter 13: Insurance and Economic Development

Insurance supports economic development by:

- **Mobilizing savings** into productive investments
- **Funding infrastructure** (roads, power, housing)
- **Providing financial security** to individuals and businesses
- **Supporting trade, industry, and government borrowing**

- **Stabilizing markets** during crises.

Chapter 14: Pension Fund Regulatory and Development Authority (PFRDA)

Established in **2003**, regulates pension sector and manages the **National Pension System (NPS)**. Objectives: old-age income security, regulation of pension funds, financial inclusion, and long-term savings mobilization.

Chapter 15: Government Insurance Schemes in India

Key schemes to promote **social security and financial inclusion**:

- **PMSBY** (accident insurance)
- **PMJJBY** (life insurance)
- **RSBY** & **Ayushman Bharat** (health insurance)
- **AABY** (poor families)
- **PMVVY** (senior citizens pension plan)
- **ESI Scheme** (workers' health & social security).